Identifying Undervalued Real Estate Investment Opportunities

Piedmont Triad, North Carolina

Data Analysis Final Project | Spring 2026

CHICAGO BOOTH

The Investor Question

TARGET AUDIENCE

Small residential investors in the Piedmont Triad — fix-and-flip or buy-to-rent strategies, acquisition budgets under USD 1,000,000

Two questions every investor asks:

01

Where should I be looking?

Zip-code-level market analysis combining listings, demographics, and macroeconomic context

02

Is this listing a good deal?

Listing-level scoring and statistical modeling against 952 active listings in the Piedmont Triad

Approach & Data

Three data sources combined to answer the strategic and tactical questions

01

RentCast API

952 active listings and zip-code market aggregates including median price, days on market, and inventory

02

U.S. Census ACS

5-year estimates for median household income, renter ratio, and total housing units by zip code

03

FRED API

30-year fixed mortgage rate history providing financing cost context for investment decisions

ANALYTICAL SCOPE

Price range USD 30k–1M | Square footage under 6,000 | Two cities analyzed: Greensboro and High Point

Winston-Salem excluded from listing-level analysis due to insufficient sample after Phase 2 cleaning. Retained in macro-level zip code analysis.

Two Distinct Markets

The Piedmont Triad is not one investment universe — structural differences shape strategy choice

Metric	Greensboro	High Point
Total listings	**695**	**257**
Average listing price	**USD 355,000**	**USD 301,000**
Average year built	**1989**	**1977**
Property mix	67% SF / 21% TH / 12% Condo	82% Single Family
Listings with HOA	**56%**	**33%**

WHY THIS MATTERS

Greensboro

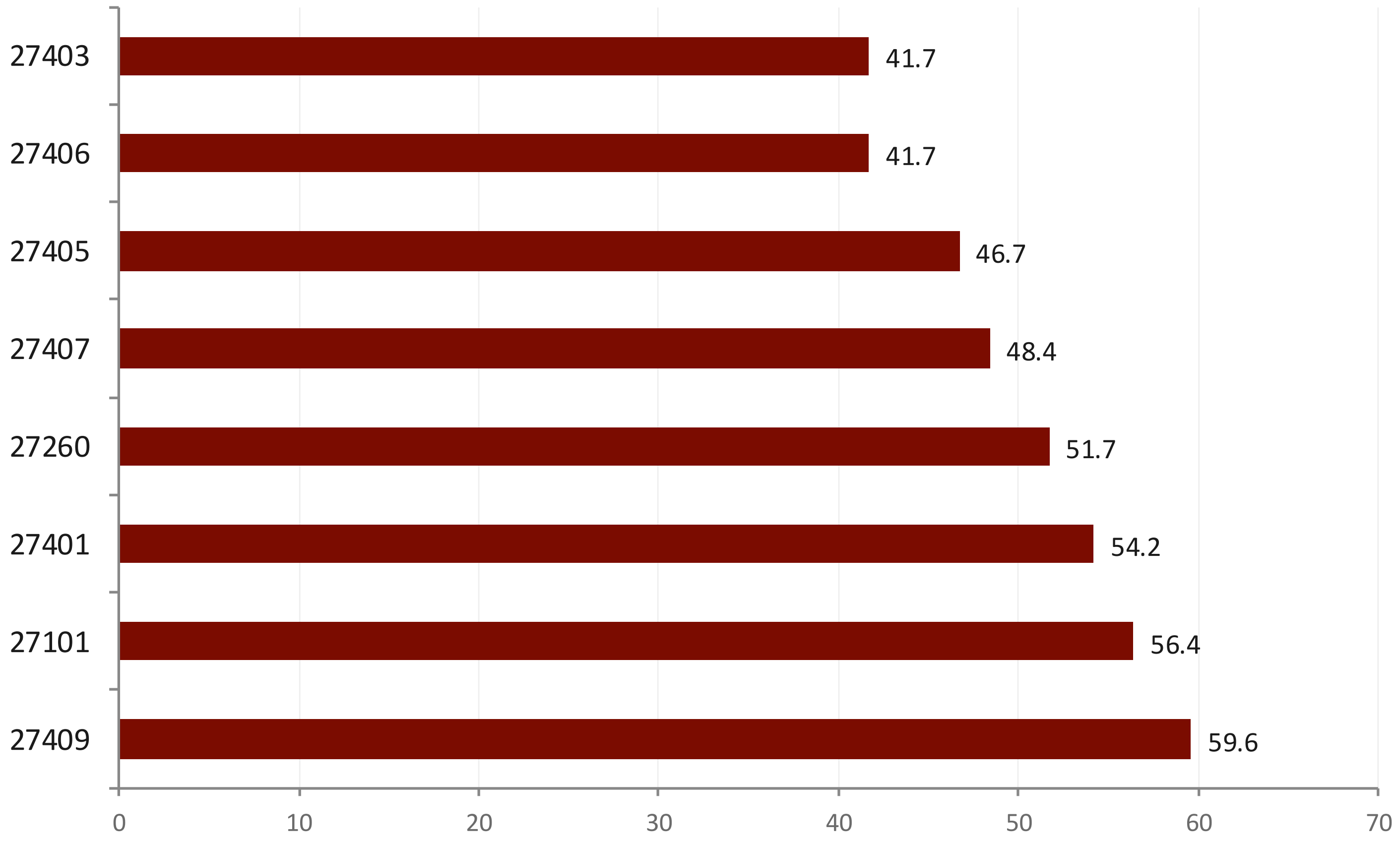
Multiple strategies viable — condo rentals, single-family flips, townhome holds

High Point

Effectively single-product market — investors choose between specific detached houses

Where Renter Demand Lives

Four zip codes exceed the 50% renter threshold — the primary indicator of buy-to-rent demand



MARKET LEADER

27409

Northwest Greensboro

Highest renter ratio in dataset (60%) at one of the lowest median prices — workforce rental market

THE BUY-TO-RENT PROFILE

High renter ratio + below-average income

27401, 27260, 27407: working-class neighborhoods where residents can afford rent but not homeownership — structurally durable rental demand

CHICAGO BOOTH

Scoring Framework

Five hand-weighted signals combined into one composite Investor Opportunity Score per listing

Signal	Weight	Rationale
Price below zip median	35%	Primary undervaluation signal
Low price per sqft	25%	Value per unit of space
Pre-1980 construction	15%	Cosmetic renovation upside potential
Low bath-to-bed ratio	15%	Renovation opportunity
High renter ratio	10%	Demand sustainability for buy-to-rent

SCORE RANGE

0 – 1

Higher score signals greater opportunity across all five dimensions simultaneously

952

listings scored

Top Opportunities & Strategic Patterns

Top 15 cluster in two zip codes | SQL surfaces four distinct rental investment profiles

SCORING FRAMEWORK TOP 15

Two zip codes dominate

Greensboro 27406 | Older inventory, sub-zip-median pricing, fix-and-flip candidates

High Point 27260 | Sub-USD 100k single-family inventory, working-class rental territory

A TOP OPPORTUNITY

2102 Bothwell St, Greensboro NC

3-bed | 1-bath | USD 190,000 | Built in 1960

SQL ANALYSIS

Four rental investment profiles

27409 Stable middle-income condos | USD 114–170k

27401 Urban downtown condos | USD 130–140k

27260 Working-class single-family | USD 140–160k

27407 Balanced condo + SF mix

2102 Bothwell St, Greensboro NC

Back to search | Zillow | Save | Share | Hide | More

Price cut: $15K (5/8)

$190,000
2102 Bothwell St, Greensboro, NC 27401

3 beds | **1** baths | **1,484** sqft

Est.: **$1,151/mo** **Get pre-qualified**

Request a tour
as early as today at 1:00 pm

Contact agent

Stick/Site Built, Residential, Single Family Residence | Built in 1960 | 0.19 Acres Lot

Top Opportunities & Strategic Patterns

Top 15 cluster in two zip codes | SQL surfaces four distinct rental investment profiles

SCORING FRAMEWORK TOP 15

Two zip codes dominate

Greensboro 27406 | Older inventory, sub-zip-median pricing, fix-and-flip candidates

High Point 27260 | Sub-USD 100k single-family inventory, working-class rental territory

A TOP OPPORTUNITY

2102 Bothwell St, Greensboro NC

3-bed | 1-bath | USD 190,000 | Built in 1960

SQL ANALYSIS

Four rental investment profiles

27409	Stable middle-income condos | USD 114–170k
27401	Urban downtown condos | USD 130–140k
27260	Working-class single-family | USD 140–160k
27407	Balanced condo + SF mix

SQL Strategic Filter

Zip codes meeting BOTH above-average renter ratio AND below-average median income

HIGHEST-CONVICTION TERRITORY

27260

High Point

51.7%
renter ratio

USD 42k
median income

71
listings, avg USD 197k

Strong rental demand from a working-class renter base with accessible prices

Seven zips qualified on demographic criteria

27260, 27409, 27401, 27407, 27405, 27403, 27406 met both above-average renter ratio AND below-average income criteria

KNOWN DATA GAP

27101 and 27105 (Winston-Salem)

Would have qualified for the rental investment filter but were excluded during data quality cleaning due to insufficient listings.

Testing the Heuristic with Statistical Models

Two complementary models tested whether the midterm's hand-picked weights hold up under statistical scrutiny

MODEL 1

Linear Regression | Price Prediction

Predicts what each listing should cost based on attributes, demographics, and property type.

R^2	RMSE
0.78	**USD 91k**

Output

Residuals (actual – predicted) provide a statistical definition of underpricing per listing.

MODEL 2

Logistic Regression | Deal Classification

Predicts which listings are in the bottom 25% of residuals — the most underpriced.

AUC	Hit rate
0.69	**40%**
	vs 25% random

Output

Coefficients reveal WHICH features predict statistical underpricing — directly testable against heuristic weights.

CHICAGO BOOTH

The Big Finding

Comparing midterm intuitions against model evidence

Signal	Heuristic Weight	Model Evidence	Verdict
Age (pre-1980)	+15%	**+0.479**	**✓ Validated**
Bath-bed ratio	+15%	**+0.33 / −0.20**	**✗ Contradicted**
Renter ratio	+10%	**−0.313**	**✗ Contradicted**

THE RENTER RATIO REVERSAL

The heuristic assumed high renter ratio = good investment territory.

The model says the opposite: high-renter markets are priced MORE efficiently for rental income, leaving LESS underpricing to exploit.

The heuristic answered "where is rental demand?" | The model answers "where is the market mispriced?" | Related but distinct questions.

Recommendations & Limitations

Synthesized guidance from heuristic, SQL, and modeling streams — plus an honest scope acknowledgment

01 Buy-and-Hold Rental

Focus on 27260 in High Point — strongest demographic fundamentals, sub-USD 100k single-family inventory, structurally durable working-class rental demand.

02 Fix-and-Flip

Target larger, older single-family homes in Greensboro — Model 1 residuals concentrate the most statistical underpricing here, despite higher absolute prices than High Point.

03 All Investors

Score and model are screening tools, not buy recommendations. Conduct full due diligence — inspections, title searches, local comparable analysis — before any acquisition.

HONEST LIMITATIONS

No condition data — Model 1's large negative residuals likely conflate genuine deals with undisclosed condition issues. The residual is a screening signal worth investigating, not a buy recommendation.

No rental income data — Cap rate integration (via HUD Fair Market Rent data) is the top future-work priority. Would let us answer profitability directly, not just statistical underpricing.